

Alt-Data Pyramid

Satellite, card, web data as alpha

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PROFESSIONAL DEFINITION

The Alt-Data Pyramid organises alternative data sources — such as satellite imagery, card transactions and web traffic — by their rawness and the processing required to turn them into investment signals (alpha).

WHO DEVELOPED IT

A construct from quantitative-investing and alternative-data practice.

WHY IT WAS DEVELOPED

It was developed to show that alternative data must be processed and validated, not merely acquired, to yield genuine signal.

FIGURE 1 · ALT-DATA PYRAMID

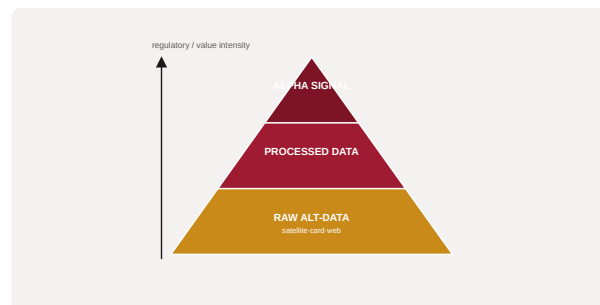


Figure 1. A schematic of the Alt-Data Pyramid as applied in BARBM312 (illustrative).

HOW IT IS USED

Sources are arranged from raw data up to processed alpha signals; investment in processing targets where signal can be extracted.

WHEN IT IS USED

When sourcing and evaluating alternative data for investment.

BY WHOM IT IS USED

Quantitative investors and data teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It clarifies that alternative data's value lies in processing and uniqueness, not mere possession, tempering alt-data hype.

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SOURCES (HARVARD REFERENCING STYLE)

Kolanovic, M. and Krishnamachari, R.T. (2017) Big Data and AI Strategies. J.P. Morgan.

Monk, A., Prins, M. and Rook, D. (2019) 'Rethinking alternative data in institutional investment', Journal of Financial Data Science, 1(1).